

GMVML FAQ Response - 2019 External Redecorations - Holly, Metcalfe, New Becquerel

There have been a number of queries, with the benefit of hindsight, challenging why the external decorations were carried out in 2019 for the three captioned blocks.

The Board's view is that the decision to redecorate these blocks was the right decision in order to maintain the buildings for the benefit of Leaseholders.

To summarise:

- the Board received professional advice **in July 2018** that the **planned maintenance of the blocks should not be deferred** if funds were available to carry out the works;
- the Board had no information, either at the time the decision in principle to redecorate was taken in September 2018 or when the contractor was instructed in April 2019, to suggest that cladding issues should have meant putting the works on hold;
- a full section 20 consultation was carried out. The Section 20 Notice of Intention issued 16 November 2018 makes clear 'works are required to maintain the condition of the external facade and to arrest further deterioration which if left unattended may lead to complete component failure'. There was no suggestion from leaseholders that the works should be put on hold for cladding or any other reasons;
- subsequent events and the delay by the BSF and GMVL in progressing remediation work mean that if the Board **had** put the works on hold there would have already been 3-4 years further deterioration in the fabric of the buildings;
- on the present indicative timetable for cladding remediation there may well be two more years before there will be an opportunity to start to carry out any new maintenance works on the buildings. GMVL do not at present plan to complete cladding remediation works on these blocks until late 2026. So there could be up to two further years of deterioration in the building fabric if the Board had put the previous works on hold;
- the Board consider that an additional six years' deterioration in the buildings could have been damaging and potentially very expensive to put right.

The timing of the different actions are key to understand the sequence of events and the information that was available for decision making at the different stages.

At a high level:

- 2017 - Research completed on Planned Maintenance Programme for all blocks in the village. This directly feeds into the level of works and reserves required for the blocks. Consultations completed with Leaseholders.
- May-July 2018 - Condition reports completed on the blocks. External redecoration programme initiated.

- Nov 2018 - Jun 2019 - Various rounds of formal consultations with Leaseholders, obtaining tenders and preparing for works, contractor selected and engaged.
- Aug 2019 - Works commenced
- Sep 2019 - first indications reported to Board that some, but not all, Leaseholders were having challenges getting mortgages or sales progressed.
- Nov 2019 - More hardening of the mortgage market. More sales reported as stalled. Board collated the different elements of information in relation to our cladding that were available at that time and published to Leaseholders our assessment and decisions made at that time. Confirmation obtained that there was no ACM in buildings, Building Control sign-off was in place, confirmation on cladding manufacturer website that our cladding system met the required BR135 standard.
- Mar 2020 – Building Safety Fund (BSF) announced by Government.
- June 2020 Board registered with BSF to ensure leaseholders did not lose the opportunity to obtain funding for any remediation that might be required.
- July 2020 Board initiated testing to take advantage of funding that might be available to Leaseholders.
- Nov 2020 - Results of testing received and published to Leaseholders to advise the major problems identified.

At the time that the key decisions were made to progress with the external works, the Board had no information which would suggest that there were any problems with our cladding. The note of November 2019 listed the elements that were available that gave the assurance, at that time, that there was not expected to be issues in GMV West.

There have been suggestions that this work was primarily to clean the render. This is not accurate. Whilst there was an allowance in the works for cleaning and any repairs required to the render, this was not the major driver behind initiating the works. The major items and therefore by far the largest element of works and costs was for the maintenance and decoration of the wooden windows. There were other significant elements and with scaffolding or access costs being a major factor all external works are typically grouped together in a single cycle to avoid expensive access costs multiple times.

The core reason for initiating the works in 2019, which was primarily to protect the wooden windows and reduce the risk of further costly deterioration remains valid. Regardless of any future replacement of the cladding, the blocks will still have received value from the decoration works.

The following is a more detailed sequence, for those wanting a greater level of detail:

- 2017 Work initiated to prepare a 'Planned Maintenance Programme' (PMP) for blocks
- Copy of PMP published 12Jul2017 - week before consultation meeting
- PMP meetings - Holly 19Jul17, Metcalfe 25Jul17. Becquerel 14 Nov17

25-year External PMP meetings			
Block	Date	Block Size	Attendees
Metcalfe Court	25 July 2017	162	4
Holly Court	17 July 2017	166	handful
New Becquerel	14 November 2017	30	not noted

- SDNA Condition reports undertaken through May/Jun 2018. Reports received (email Adam Matthews to Bill/Greta 6Jul18 11:32 'GMV Report for consideration of deferred PM works'). We had sought an opinion to assess whether we could/should defer the works. It is generally a challenge in advance of every piece of major works to assess if Leaseholder funds need to be spent at that time or could be delayed. The repairs to the wooden windows were the driving factor to initiating these works. Further delays could have exposed Leaseholders to greater costs
- 16 Jul 2018 - Project planning began.
- Nov 2018 initial consultation with leaseholders proposed. Section 20 notice of intention issued 16 November 2018.
- Dec 2018 - AN14 issued - Advice note, not instruction. Even a year later, few buildings had actually instructed surveys. Position remained unchanged until AN14 superseded by enhanced advice in Jan20, which was then supported by the BSF
- Feb 2019 - Tender completed
- 8 May 2019 - S20 outcome (3 separate letters for each block). Holly 6 contractors - expected cost £835,673. Metcalfe £921,083. New Bec £243,503
- 14Jun 2019 - (Bec New, Holly, Metcalfe) - S20 notice of appointment of contractor (No specific cancellation clause - this would generally cost 10-15%). Responded to all of the representations/queries received through the consultation (none of which were relating to cladding). Only one Holly leaseholder had queries, which were responded to (attached). No queries received from leaseholders in Metcalfe or New Bec. No queries, concerns or challenges relating to cladding/EWS.

S20 Major works consultation				
Block	Consultation Date	Number of Attendees	Number of Queries	Quotes
Becquerel New	23-May-19	5 across all	none	6
Metcalfe	23-May-19	5 across all	none	6
Holly	23-May-19	5 across all	12	6

- 26 Jun 2019 - Letter of Intent issued
- 6 Aug 2019 - contractor engaged
- Board meeting 11 Sep2019 states that work had already commenced at New Becquerel and Holly
- Board meetings 2 & 11 Sep 2019 - R&R report that some leaseholders are reporting challenges with sales and mortgages. Not consistent as some are still progressing. Detailed discussion on the status that was currently known. Agreed to consolidate position and continue to monitor. Detailed minutes maintained - section 7 c.
 - a) At this stage, we had confirmation from a surveyor that we did not have ACM.
 - b) Our understanding of the cladding is that we had a product of Sto Render. There is confirmation on their website, quoting GMV, stating the product and also confirming that this has received the relevant BR135 approval.
 - c) Until receipt of the EWS report, following the intrusive investigations in 2020, we had no indication of any material issues with the Sto cladding and would have no

reason to cancel the contract, especially as this would have incurred significant cancellation costs.

- Board meeting 6 & 7 Nov 2019 - minutes (section 8c) record further challenges experienced by leaseholders for mortgages and sales. Agreed to draft and share a note with leaseholders about the problem as well as the board stance and considerations at that time.
- 27 Nov 2019 - Detailed note from Board relating to AN14 - considerations and approach articulated. At the time, confirmed no ACM, which was the key concern being raised. Also, statement of the architect website that 'all blocks were constructed in accordance with building regulations at the time of construction' (subsequently clearly not true), sign-off from building control (now considered as worthless).
- Jan 2020 - AN14 superseded
- Mar 2020 - Budget announced BSF - immediate engagement to source contractor. Important to note that any site that had progressed in advance of the budget would not have been eligible for BSF funding and would have had to progress at their cost.
- Dec 2020 - EWS reports finalised - significant deficiencies identified. Shared with Leaseholders and residents. Application submitted for funding.